ADVANCE FINANCIAL ACCOUNTING I

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CORPORATE ANNUAL REPORT

Corporate report was first published in June 1975 by accounting standard steering committee (ASSC) it is an important document wide ranging and at time progressive, corporate report was published to meet the modern needs and the condition of the users group.

An annual report is a comprehensive report on a company's activities throughout the preceding year. Annual reports are intended to give shareholders and other interested people information about the company's activities and financial performances. Most jurisdictions require company to prepare and disclose annual reports to be filled at the company's registry. Companies listed on the stock exchange are also requires to report at the more frequent intervals (depending upon the rules of the stock exchange involved). Corporate annual report therefore refers to published accounting statement otherwise known as financial statement.

OBJECTIVES OF CORPORATE ANNUAL REPORT

There are three distinct goals of the annual report for public corporation and these include:

- To promote the company
- To display the financial performance and
- To meet the regulatory requirements

CONTENTS OF ANNUAL REPORT ACCORDING TO SEC 334 (2) OF CAMA 1990

The financial statement of company shall include:

1. General corporate information
2. Operating and financial review
3. Directors report
4. Corporate governance information
5. Chairpersons statement
6. Auditors report
7. Financial statements, including
   - Balance Sheet also known as Statement of Financial Position
   - Income Statement also known as Profit and Loss Statement
   - Statement of changes in equity
   - Cash flow statement
8. Notes to the account
9. Accounting policies
10. A five years financial summary
11. The audit committees' reports.
12. In the case of a winding company, the group financial statement.

USERS OF FINANCIAL INFORMATION

The users of financial information are:

1. Individual financial institutions or group of investors needs accounting information to determine the liquidity, profitability's and viability of the enterprises.
2. Managers in an enterprise need accounting information to measure performance plan and control operations.
3. Customers and employers of an enterprises needed accounting information in order to access the abilities of the enterprises to produce goods or to render service on a continuous basis.
4. Government and regulatory body i.e. CBN, SEC, FIRS, SIRS need accounting information in order to be able to impose and collect taxes, to regulate certain business and plan, execute and evaluate government project.
5. Quasi-government establishment needs accounting information in order to meet their statutory obligation.
6. Competitor to assist in formulating policies to counter competition.
7. Creditors to access companies' liquidity and abilities to meet their obligation to creditor as at when due.
8. Financial analysts in order to facilitate comperison ~~comprise~~ of result of companies with in the same industry and between one industry and other as well as determine the industry average.

REQULATORY FRAME-WORK FOR PUBLISHED FINANCIAL STATEMENT

Regulation of accounting information is aimed at ensuring that users of financial statements received minimum amount of information that will enable them take meaningful decisions regarding their interest in a reporting entity. The body responsible for these regulations are often statutory agencies such as the Accounting standard board, Securities and Exchange Commission, and the Stock Exchange. The bulk of this frame work is usually contained in the Accounting Standard. The Nigeria Accounting Standard board is the body responsible for the issuance of Accounting Standards in Nigeria. This body was initially an advisory body responsible for the production of standards that will serve as a guide to Accountant in the preparation of financial statement

Other Regulatory Framework

a. The Central Bank of Nigeria
b. The Nigerian Insurance Commission (NAICOM)
c. The Securities and Exchange Commission

Each of these regulatory authorities has an enabling law that guides the activities of the various institutions operating in the sector. The CBN has the Bank and Other Financial Institution Act (BOFIA) 1991, NAICOM has the Nigerian Insurance Act 2003, while the Securities and Exchange Commission has the investment and Securities Act, 1999.

PREPARING FINANCIAL STATEMENTS OF LIMITED LIABILITY COMPANIES FOR PUBLICATION

The format of published accounts

Some entities must publish financial statements in accordance with ***International Financial Reporting Standards*** and ***International Accounting Standards***).

IAS 1: Presentation of Financial Statements sets out the rules on the form and content of financial statements which such entities must comply with. IAS 1 specifies what published general-purpose financial statements should include, and provides a format for a statement of financial position, statement of profit or loss and other comprehensive income and a statement of changes in equity. The objective of general-purpose financial statements is to provide information about the financial position of the company, and its financial performance and cash flows that is useful to a wide range of users in making economic decisions.

A complete set of financial statements consists of:

- ✓ A statement of financial position as at the end of the period;
- ✓ A statement of profit or loss and other comprehensive income for the period (made up of A statement of profit or loss and a statement of other comprehensive income);
- ✓ A statement of changes in equity for the period;
- ✓ A statement of cash flows and
- ✓ Notes to these statements, consisting of a summary of significant accounting policies used by the entity and other explanatory notes.

Further requirements include:

- Financial statements should present fairly the financial position, financial performance and cash flows of the entity.
- Comparative information for the immediately preceding accounting period should be disclosed (you will not be asked to provide comparative information).
- Each component of the financial statements must be properly identified with the following information displayed prominently:
- The name of the reporting entity
- The date of the end of the reporting period or the period covered by the statement, whichever is appropriate
- The currency in which the figures are reported
- The level of rounding used in the figures (for example, whether the figures are in thousands of naira or millions of naira).

Note: IAS 1 does not specify what the statements must be called and allows the use of other terminology. For example a statement of financial position is often called a balance sheet and a statement of profit or loss is often called an income statement.

STRUCTURE AND CONTENT OF THE STATEMENT OF FINANCIAL POSITION

Introduction

IFRS uses terms which are incorporated into this study text. However, it does not forbid the use of other terms and you might see other terms used in practice. IAS 1 sets out the requirements for information that must be presented in the statement of financial position or in notes to the financial statements, and it also provides implementation guidance. This guidance includes an illustrative format for a statement of financial position. This format is not mandatory but you should earn it and use it wherever possible

Current and non-current assets and liabilities

Current and non-current items should normally be presented separately in the statement of financial position, so that:

- Current and non-current assets are divided into separate classifications; and
- Current and non-current liabilities are also classified separately.

As a general rule, an amount is 'current' if it is expected to be recovered or settled no more than 12 months after the end of the reporting period.

Current assets

IAS 1 states that an asset should be classified as a current asset if it satisfies **any** of the following criteria:

- The entity expects to realize the asset, or sell or consume it, in its normal operating cycle.
- The asset is held for trading purposes.
- The entity expects to realize the asset within 12 months after the reporting period.
- It is cash or a cash equivalent unless the asset is restricted from being used for at least 12 months after the reporting date. (Note: An example of 'cash' is money in a current bank account. An example of a 'cash equivalent' is money held in a term deposit account with a bank.)

All other assets should be classified as non-current assets.
This definition allows inventory or trade receivables to qualify as current assets, even if they may not be realized into cash within 12 months, provided that they will be realized in the entity's normal operating cycle or trading cycle.

The operating cycle of an entity is the time between the acquisition of assets for processing and their realization in cash or cash equivalents. When the entity's normal operating cycle is not clearly identifiable, it is assumed to be twelve months. This is almost always the case.

Current liabilities

IAS 1 also states that a liability should be classified as a current liability if it satisfies **any** of the following criteria:

- The entity expects to settle the liability in its normal operating cycle.
- The liability is held primarily for the purpose of trading. This means that all trade payables are current liabilities, even if settlement is not due for over 12 months after the end of the reporting period.
- It is due to be settled within 12 months after the end of the reporting period.
- The entity does **not** have the unconditional **right** to defer settlement of the liability for at least 12 months after the end of the reporting period.

A single statement or two statements

The statement of profit or loss and other comprehensive income provides information about the performance of an entity in a period. It consists of two parts:

- a statement of profit or loss – a list of income and expenses which result in a profit or loss for the period; and
- a statement of other comprehensive income – a list of other gains and losses that have arisen in the period.

IAS 1 allows an entity to present the two sections in a single statement or in two separate statements. If two separate statements are used they should include all the information that would otherwise be included in the single statement of profit or loss and other comprehensive income. The statement of profit or loss shows the components of profit or loss, beginning with 'Revenue' and ending with 'Profit (or Loss)' for the period after tax.

Definition of total comprehensive income

Total comprehensive income during a period is the sum of:

- the profit or loss for the period and
- Other comprehensive income.

Information to be presented on the face of the statement of profit or loss

As a **minimum**, IAS 1 requires that the statement of profit or loss should include line items showing the following amounts for the financial period:

(a) Revenue
(b) Finance costs (for example, interest costs)
(c) Tax expense
(d) Profit or loss
(e) Each component of 'other comprehensive income
(f) Total comprehensive income.

Taxation on profits

A company is a legal person, and is liable to pay tax on the profits that it makes. This tax is called income tax in international accounting standards. The statement of profit or loss and statement of financial position of a sole trader or partnership are prepared without any concern for taxation on profits. The taxation of the income of sole traders and partners is not a concern of their businesses, and is not recorded in the financial accounts of the business. Companies are different, because the company has a liability for taxation that is reported in its statement of profit or loss and statement of financial position.

a) The statement of profit or loss reports the amount of taxation on the profit of the company for the year. This is deducted in reaching a figure for profit after taxation.
b) The statement of financial position reports the amount of taxation that the company owes to the tax authorities as at the end of the reporting period.

Taxation in the statement of profit or loss

Taxation in the statement of profit or loss might relate to the profit or loss section or to other comprehensive income. Tax is recognized in each section as appropriate.
The tax charge that relates to profit or loss is a charge against profits after interest. The profit after tax is added to the retained earnings reserve.

Example:

	₦
Profits from operations	460,000
Interest	(60,000)
Profit before tax	400,000
Tax	(100,000)
Profit after tax	300,000

The profit after tax is added to the retained earnings (accumulated profits) brought forward at the start of the year to give a total which appears on the face of the statement of financial position at the year-end (unless there are any other transfers into or out of this amount, for example, dividend payments).

Over-estimate or under-estimate of tax from the previous year

When the financial statements are prepared, the tax charge on the profits for the year is likely to be an estimate. The figure for tax on profits in the statement of profit or loss is therefore not the amount of tax that will eventually be payable, because it is only an estimate. The actual tax charge, agreed with the tax authorities some time later, is likely to be different.

In these circumstances, the tax charge for the year is adjusted for any underestimate or over-estimate of tax in the previous year.

- ❖ An under-estimate of tax on the previous year's profits is added to the tax charge for the current year.
- ❖ An over-estimate of tax on the previous year's profits is deducted from the tax charge for the current year

Example:

	₦	₦
Profit from operations		460,000
Interest		(60,000)
Profit before tax		400,000
Tax:		
Adjustment for under-estimate of tax in the previous year	3,000	
Tax on current year profits	100,000	
Tax charge for the year		(103,000)
Profit after tax		297,000

Taxation in the statement of financial position

The taxation charge for the year is the liability that the company expects to pay. The timing of tax payments on profits varies from one country to another, depending on the tax rules in each country. The actual amount of tax payable, and reported in the statement of financial position as a current liability (taxation payable), is calculated as follows:

Illustration

	₦
Tax payables at the beginning of the year	X
Tax charges for the year	X
	X
Tax payments made during the year	(X)
Tax payables at the end of the year	X

Example:
Fresh Company has a financial year ending on 31 December. At 31 December Year 5 it had a liability for income tax (= tax on its profits) of ₦77,000. The tax on profits for the year to 31 December Year 6 was ₦114,000. The tax charge for the year to 31 December Year 5 was over-estimated by ₦6,000.
During the year to 31 December Year 6, the company made payments of ₦123,000 in income tax.
Required
Calculate:

a) The tax charge for the year to 31 December Year 6, to include in the statement of profit or loss
b) The liability for income tax as at 31 December Year 6, to include in the balance sheet.

Answer
(a)

Tax: ₦	
Adjustment for over-estimate of tax in the previous year	(6,000)
Tax on current year profits	114,000
Taxation charge for the year	108,000

(b)

	₦
Tax payable at the beginning of the year	77,000
Tax charge for the year	108,000
	185,000
Tax payments made during the year	(123,000)
Tax payable at the end of the year	62,000

The tax payable will appear as a current liability in the statement of financial position.

Statement of profit or loss (analysis of expenses by function)
Statement of profit or loss for the year ended 31 December 2014

	₦m
Revenue	X
Cost of sales	(X)
Gross profit	X
Other income	X
Distribution costs	(X)
Administrative expenses	(X)

Abridged Financial Statements

Annual reports and financial statements are the means of communicating to the shareholders and other interested parties information on the financial resources, obligations and performance of a reporting entity or enterprise.

Annual report refers to the Chairman's statement, Directors' report, Auditors' Report, Audit Committee's Report , information communicated on Accounting Policies, Balance Sheet, Profit and Loss Account (Income statement), Cash flow Statement, Value Added Statement, Notes on the accounts, Five-year Financial Summary, and Notice of Annual General Meeting. Such a report usually assists shareholders and other interested parties in assessing the financial, liquidity, profitability and viability of an enterprise.

In recent years, groups of shareholders and some companies in Nigeria aim to reduce the size of annual reports and financial statements, and curtail the cost of printing and mailing the glossy information.

Section 355 of the CAMA allows companies to publish abridged financial statements. The act does not specify any minimum disclosure requirement of such statements.

SAS 20 – Abridged Financial Statements

The objectives of Statement of Accounting Standard No. 20 are:

a) To specify the minimum contents of abridged financial statement.
b) To standardize formats for presentation of abridged financial statements; and
c) To improve comparability and usefulness of abridged financial statements.

Abridged financial statements should carry a declaration that:

i. they are abridged financial statements;
ii. the financial statements and specific disclosures included in them have been derived from the financial statements of the company

iii. the abridged financial statements cannot be expected to provide understanding of the financial performance, financial position, financing and investing activities of the organization as the full financial statements; and

iv. Copies of the full financial statements can be obtained from the Registrars of Companies.

Abridged financial statements should include the following, as in the full financial statements:
(i) Accounting policies;
(ii) Profit and Loss Account for the financial year;
(iii) Balance sheet as at end of the financial year;
(iv) Statement of cash flows for the financial year;
(v) Notes in relation to exceptional and extra-ordinary items
(vi) Five-year financial summary; and
(vii) Any other information necessary to ensure that the abridged financial statements are consistent with the full accounts and reports of the year.

Other information to be included in abridged financial statements is:
(i) Notice of Annual General Meeting;
(ii) Names of Directors during the year and their shareholding;
(iii)Report of the audit committee, which should confirm that the auditors' report is unqualified
(iv) Financial Highlights (Results at a glance); and

All other liabilities should be classified as non-current liabilities.

Information to be presented on the face of the statement of financial position
IAS 1 provides a list of items that, **as a minimum**, must be shown on the face of the statement of financial position as a 'line item' (in other words, on a separate line in the statement):

Assets
(a) Property, plant and equipment
(b) Intangible assets
(c) Inventories
(d) Trade and other receivables
(e) Cash and cash equivalents.

Liabilities
(f) Trade and other payables
(g) Financial liabilities (for example, bank loans)
(h) Liabilities (but possibly assets) for current tax Equity
(i) Issued capital and reserves attributable to the **owners** of the entity. (The term 'owners', refers to the **equity holders**.)

Information to be shown on the face of the statement of financial position or in notes
Some of the line items in the statement of financial position should be sub classified into different categories, giving details of how the total figure is made up. This sub-classification may be presented either:

- as additional lines on the face of the statement of financial position (adding up to the total amount for the item as a whole) or
- In notes to the financial statements.

For example:

- Tangible non-current assets should be divided into sub-categories, as required by ***IAS 16: Property, Plant and Equipment.***
- Receivables should be sub-classified into trade receivables, prepayments and other amounts.
- Inventories are sub-classified in accordance with ***IAS 2: Inventories*** into categories such as merchandise, materials, work-in-progress and finished goods

Example: statement of financial position of an individual entity
IAS 1 does not specify what the exact format of the statement of financial position should be. However, it includes an illustrative statement of financial position in Guidance to implementing the Standard (which is an appendix to the Standard).
The example below is based on that example. Illustrative figures are included.
Statement of financial position of ABCD Entity as at 31 December 20XX

	₦m	₦m
Assets		
Non-current assets		